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Impacts of Policy Shocks on the Construction Industry

Discussion Paper

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CanConstructNZ
Balance in the sector

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Executive Summary

This report examines how New Zealand's construction policy landscape influences construction activity, sector capacity, and sector capability. The analysis commenced with the development of a policy register covering legislation, regulations, funding mechanisms, procurement frameworks, programmes, and strategic initiatives that influence construction and infrastructure planning and delivery. The policy register demonstrated that individual policies frequently change over time; however, the mechanisms through which they influence the construction sector tend to remain more consistent.

To examine these mechanisms, the policies were grouped into a series of archetypes. These archetypes represent common pathways through which policy settings influence construction demand, funding certainty, procurement practices, workforce availability, sector capability, consenting processes, land-use settings, regulatory requirements, and private investment decisions. This approach allowed the policy landscape to be considered as an interconnected system rather than a collection of individual policies.

The analysis shows that construction-sector performance is shaped by the interaction of multiple archetypes. Pipeline visibility alone is insufficient where funding commitments are uncertain. Funding certainty influences whether planned projects are converted into construction activity. Procurement settings determine how work reaches the market and who is able to participate. Pipeline and funding disruptions affect workforce retention, organisational investment, and capability development. Consenting, land-use, and regulatory settings influence whether planned and funded projects can proceed and remain feasible.

A recurring theme across the report is that policy changes in one area often create consequences elsewhere in the construction system. Project cancellations, short funding horizons, procurement practices, consenting uncertainty, regulatory cost increases, and infrastructure funding gaps can all influence the sector's ability to invest, retain people, build capability, and respond to future demand. Capacity can reduce quickly when workload falls, while rebuilding equivalent capacity and capability requires sustained demand, stable funding, and continued investment. The report concludes that construction policy should be understood through the interaction of policy mechanisms rather than individual policy instruments alone. Improving sector outcomes requires attention to the way pipeline, funding, procurement, workforce, consenting, land-use, regulatory, and investment settings operate together across the wider construction system.

Nine priorities for a robust construction sector

1. Protect continuity in major infrastructure pipelines
2. Create better system-wide construction data
3. Align funding horizons with infrastructure planning
4. Strengthen procurement implementation and client capability
5. Align land-use planning, infrastructure and funding
6. Improve consenting visibility and system performance
7. Assess cumulative regulatory impacts
8. Protect and develop sector capacity and capability
9. Maintain access to international and specialist expertise

Introduction

Construction, infrastructure, and policy uncertainty

Construction activity in New Zealand is shaped not only by market demand and technical delivery capacity, but also by the policy environment within which projects are planned, funded, approved, procured, and delivered. Infrastructure and construction are closely interdependent. Infrastructure planning spans the full asset life cycle, including early planning, design, engineering, construction, commissioning, operation, maintenance, and renewal, while the construction sector provides much of the delivery capacity needed to realise these investments (Infrastructure Australia, 2021). The CanConstructNZ background paper (McNeill, 2026) similarly notes that infrastructure and construction are distinct yet complementary sectors, with construction serving as a dominant delivery component of the wider infrastructure system.

This report examines how New Zealand's construction policy landscape influences construction activity, project pipelines, sector capacity, and sector capability. It adopts the view that construction-sector outcomes are shaped by interacting policy mechanisms rather than by individual policies operating in isolation. This is important because construction demand is generated and filtered through multiple public and private decision systems: government strategies, public funding commitments, fiscal settings, land-use regulation, consenting processes, procurement rules, workforce policies, and industry capability settings.

Policy uncertainty is particularly important in construction because projects require long planning horizons, substantial upfront investment, and confidence that work will move from intention to delivery. A project may be strategically desirable, but still fail to proceed if funding is uncertain, approvals are delayed, procurement is poorly structured, private finance is unavailable, or the sector lacks the capacity to deliver. The resulting uncertainty affects not only individual projects but also firms' decisions to invest in people, equipment, innovation, and capability.

Policy, politics, and the role of government

Policy is used in this report to refer to the formal and informal instruments through which government shapes construction activity and sector behaviour. These include legislation, regulations, policy statements, strategies, funding programmes, procurement rules, planning frameworks, fiscal settings, administrative processes, and workforce-development measures. Some instruments are legally binding, such as legislation and regulations. Others, such as strategies and policy statements, are statements of intent that guide executive decision-making and budget priorities, but may be revised, ignored, or replaced by future governments. McNeill (2026) notes that legislation creates the framework for intervention, while regulations, policies, and strategies vary in durability and political exposure.

Government plays multiple and overlapping roles in the built environment. It may act as owner, regulator, and enabler. As owner, the government funds, procures, owns, and stewards public assets. As a regulator, it determines the legal and planning envelope within which construction can occur. As an enabler, it influences the conditions under which public and private actors can invest, build, and maintain assets, including through fiscal policy, workforce settings, infrastructure coordination, and regulatory reform. McNeill (2026) paper identifies these three roles as central to infrastructure governance and notes that their overlap can create both opportunities and uncertainty in infrastructure planning.

These roles are inherently political because construction and infrastructure decisions allocate costs, benefits, risks, and opportunities across places, sectors, firms, and communities. Following Lasswell's definition of politics as "who gets what, when" (Lasswell, 1935), infrastructure and construction decisions are political because they involve allocation and distribution. McNeill (2026) argues that infrastructure decisions are expensive, place-based, and associated with both positive and negative externalities, requiring trade-offs across temporal, regional, and sectoral dimensions.

Electoral cycles and long-term project planning

A recurring source of uncertainty is the mismatch between construction and infrastructure timeframes and political decision cycles. Major projects may take many years to move from early planning to operation. McNeill (2026) notes that for major New Zealand infrastructure projects, the time spent on planning, route protection, business cases, consultation, environmental approvals, consenting, procurement, and funding decisions is often as long as, or longer than, the construction phase itself. It also notes that major projects can take 10 to 20 years from conception to operation, with roughly 40 to 60 percent of that time spent before construction begins.

This creates a structural problem for pipeline certainty. The government that initiates planning may not be the government that funds, procures, delivers, or opens the project. As a result, projects may be deferred, rescoped, accelerated, cancelled, or re-prioritised across electoral cycles. McNeill (2026) identifies electoral cycles as a source of short-term decision-making, including political budget cycles and policy myopia, where short-term political incentives can conflict with long-term infrastructure needs.

This uncertainty directly affects the construction sector. Firms make decisions about workforce retention, recruitment, training, equipment, supply-chain relationships, and organisational capability based on expected future work. When project priorities or funding commitments change, the sector may respond by reducing capacity, delaying investment, or shifting resources elsewhere. Capacity can contract quickly, but rebuilding equivalent capacity and capability may take years of stable demand and sustained investment.

Pipeline certainty, funding certainty, and sector confidence

Pipeline visibility is important, but it is not sufficient. A project listed in a pipeline does not necessarily represent committed construction activity. The distinction between a planned project and a funded project is central to this report. Pipeline information may signal future demand, but funding commitments determine whether that demand is credible enough for the sector to invest in people, plant, systems, and capability.

McNeill (2026) makes a similar point regarding infrastructure pipeline data, noting that the existing pipeline primarily covers public-sector projects and does not clearly distinguish between desired and committed projects.

For public-driven projects, funding certainty is often the key driver of the transition from policy intent to construction activity. For private-driven projects, the equivalent conversion mechanism is investment feasibility. Interest rates, credit conditions, taxation settings, construction cost escalation, buyer demand, tenant demand, and investor confidence influence whether private projects proceed. In both cases, the sector needs credible signals about future work to retain capacity and build capability.

Data availability and system visibility

A further challenge is the availability and quality of data across the construction system. Effective pipeline planning requires visibility not only into public projects but also into private development intentions, funding status, consenting activity, procurement timing, workforce availability, and sector capability. Without integrated information, it is difficult to understand where projects are in the life cycle, where bottlenecks occur, and how policy changes affect delivery.

McNeill (2026) argues that accurate and comprehensive pipeline data would help optimise the demand and supply of infrastructure resources. It also highlights the need for greater transparency around future investment pipelines, project progress, and private-sector data, while maintaining commercial confidentiality. This is directly relevant to construction policy analysis because the sector's ability to respond depends on both the volume of expected work and the reliability of information about when and how that work will reach the market.

Improved data availability would support better policy evaluation, sector planning, and investment decision-making. It would also make the opportunity costs of policy changes more visible. If project cancellations, funding delays, consenting bottlenecks, or regulatory changes can be linked to capacity loss, capability erosion, or project cost escalation, policy decisions can be assessed not only by their immediate fiscal or political effect, but also by their wider impact on the construction system.

Purpose of the report

This report develops a qualitative policy analysis of New Zealand's construction policy landscape. It begins with a policy landscaping exercise, identifying legislation, regulations, funding mechanisms, procurement frameworks, programmes, and strategic initiatives that influence construction and infrastructure planning and delivery. It then groups these instruments into policy archetypes: recurring mechanisms through which policy settings influence construction demand, funding certainty, private investment, land-use and regulatory conditions, consenting and approvals, procurement, sector capacity, and sector capability.

The report's central proposition is that construction policy should be understood as a system of interacting mechanisms. Individual policies may change over time, but the pathways through which they affect construction activity tend to be more persistent. A policy may influence early project prioritisation, funding credibility, private feasibility, approval certainty, procurement behaviour, workforce retention, or capability development. The effect of any one policy, therefore, depends on how it interacts with others across the construction project life cycle.

The Policy Landscape

New Zealand's construction sector is influenced by a broad and evolving policy landscape. The policy register developed for this study identified legislation, regulations, funding mechanisms, procurement frameworks, programmes, and strategic initiatives that affect construction and infrastructure planning and delivery. These policies influence not only project volumes, but also the sector's capacity to deliver, the capability it develops, and the conditions under which projects move from planning to construction.

The resulting policy register is shown in Table 1.

Policy instrument	Project Type		Delivery pathway	
	Buildings	Infra and civil works	Public-driven	Private-driven
Resource Management Act 1991	✓	✓	✓	✓
NPS on Urban Development	✓		✓	✓
Medium Density Residential Standards	✓		✓	✓
Fast-track Approvals Act 2024	✓	✓	✓	✓
National Infrastructure Strategy	✓	✓	✓	
Land Transport Management Act 2003		✓	✓	
National Land Transport Programme		✓	✓	
Local Government Act 2002	✓	✓	✓	✓
Urban Development Act 2020	✓	✓	✓	✓
Kāinga Ora, Homes and Communities Act 2019	✓		✓	
Infrastructure Funding and Financing Act 2020	✓	✓	✓	✓
Building Act 2004	✓	✓	✓	✓
Construction Procurement Guidelines	✓	✓	✓	
Construction Contracts Act 2002	✓	✓	✓	✓
Accredited Employer Work Visa	✓	✓	✓	✓
Building for Climate Change Programme 2020	✓		✓	✓
Local Water Done Well Programme 2024		✓	✓	

The breadth of this landscape demonstrates that construction policy is not confined to a single ministry, statute, or programme. Construction activity is shaped by policy settings across central government, local government, Crown entities, regulators, infrastructure providers, and public clients. Some policies directly create project demand. Others affect whether projects are fundable, consentable, buildable, commercially viable, or deliverable by the sector.

From policy instruments to archetypes

The policy register showed that many individual policies change over time, but the mechanisms through which they influence construction tend to be more consistent. For this reason, the policies were grouped into archetypes. These archetypes represent recurring pathways through which policy settings influence construction activity and sector behaviour.

The following table presents the developed archetypes, along with a brief explanation of the rationale for the categorisation.

Archetype	Main mechanism	Typical policy examples
Government infrastructure strategy and public pipeline	Signals future demand for public projects, sequencing, and priorities.	National Infrastructure Strategy, National Infrastructure Plan, National Land Transport Programme, Kāinga Ora capital programmes, local authority long-term plans, and central government capital budgets.
Public funding commitments	Determines whether public or publicly enabled projects have the capital funding required to proceed.	National Land Transport Fund, Crown grants and loans, Housing Acceleration Fund, Infrastructure Funding and Financing Act, council borrowing and long-term funding arrangements.
Major fiscal policies	Shapes private-sector willingness to initiate projects by affecting finance costs, market confidence, taxation settings, demand, and feasibility.	Interest rate environment, taxation and depreciation settings, development feasibility conditions, housing and commercial market signals, and regulatory certainty.
Environmental, land-use, and building regulations	Determines what can be built, where, at what density, and under what performance or compliance requirements.	District and unitary plans, RMA settings, NPS-UD, MDRS, Building Act, Building Code, climate-related building policies, and health and safety settings.
Administrative efficiency	Affects the time, cost, predictability, and coordination required to obtain statutory and development approvals.	Fast-track approvals, resource consent processes, building consent systems, EPA processes, statutory timeframes, appeals and review settings.
Procurement and contracting	Determines how work reaches the market, who can participate, and how risks and incentives are allocated.	Government Procurement Rules, Construction Procurement Guidelines, standard contract forms, Construction Contracts Act, risk allocation policies, panel and alliance arrangements.
Sector capacity	Influences whether sufficient workers, firms, materials, and supply chain resources are available to deliver the pipeline.	Immigration settings, apprenticeship programmes, regional labour availability, firm balance-sheet strength, workforce retention, supply-chain stability.
Sector capability	Influences the sector's ability to deliver projects effectively, safely, productively, and at the required complexity and quality.	Skills development, experience with complex projects, productivity and innovation capability, digital construction, client capability, procurement capability, organisational learning.

The policy archetypes apply across construction, but their relevance varies with the project's delivery driver. The most important distinction is not whether the project is a building or civil infrastructure, but whether it is primarily public-driven or private-driven.

Public-driven projects include publicly funded buildings and infrastructure, such as public housing, schools, hospitals, civic buildings, roads, water infrastructure, public transport, and flood protection works. These projects are generally priority- and funding-led. They proceed when a public need is recognised, prioritised, funded, approved, and procured.

Private-driven projects include privately financed buildings and infrastructure, such as private housing, apartments, offices, retail, hotels, warehouses, factories, logistics facilities, data centres, renewable energy projects, telecommunications infrastructure, private development infrastructure, and other investor-led assets. These projects are generally feasibility-led. They proceed when land, finance, demand, approvals, infrastructure access, expected returns, and construction costs align.

Public funding commitments are most direct for public-driven projects because these projects often depend on capital allocations from government, councils, Crown entities, or public agencies. By contrast, major fiscal policies and private-sector investment conditions are most directly relevant to private-driven projects because they shape borrowing costs, credit availability, tax settings, investor confidence, buyer or tenant demand, revenue expectations, and project feasibility.

The distinction is not absolute. Public projects are also affected by fiscal conditions through cost escalation, borrowing constraints, and budget pressure. Private projects may also depend indirectly on public funding, where government investment provides enabling infrastructure, public realm improvements, transport access, or development-supporting services. However, the dominant conversion mechanism differs: public funding commitments translate public priorities into funded projects, whereas major fiscal policies and market conditions translate private opportunities into investable projects.

Environmental regulation, land-use settings, consenting, sector capacity, and sector capability are highly relevant across both pathways. For private-driven projects, these settings affect development feasibility, risk, timing, and return. Public-driven projects affect programme certainty, public value, procurement, delivery risk, and whole-of-life asset performance.

Policy Ecology and Archetype Interactions

Government infrastructure strategy and public pipeline

The Government infrastructure strategy and public pipeline archetype captures the policy mechanisms through which government decisions affect the volume of construction demand, their timing, and prioritisation criteria. Examples of policies encompassed within this archetype include infrastructure strategies, public investment programmes, local authorities' long-term plans, and public housing programmes. These policies indicate future project pipelines and communicate expected construction demand to the construction sector, a strong signal to the market. They do not directly impact how projects are delivered, but they indirectly affect other archetypes, such as Sector Capacity and Sector Capability, by outlining industry participants' expectations and decisions regarding future pipeline and investment opportunities.

The pipeline wouldn't just be focused on when the projects were being delivered, but also when the client was expected to bring those projects to market and then the associated values with them.

The effectiveness of the Public Pipeline archetype highly depends on the visibility, quality, and credibility of the information provided to the market. The establishment of specialised institutions such as Te Waihanga reflects the value of a pipeline and provides credible and transparent information to the market. They are also aimed at mitigating some of the industry's frustration with the uncertainty caused by short-horizon pipelines that lack sufficient information to support long-term decision-making. As a result, the construction sector may be reluctant to invest in capital, expand its workforce, or implement training programmes.

Why would I want to invest? No one in their right mind would not invest if they knew their investment was going to make a return. I can only make those investments if I know that I've got clarity on the pipeline.

Political factors, such as electoral cycles, often lead to changes in government priorities, programme reviews, funding reallocations, and project cancellations (Flyvbjerg, 2009). This would reverse the market signals previously communicated and jeopardise all plans and expectations in the sector. Furthermore, a skilled and trained workforce may be forced to exit the sector. Pipeline providers or clients are also affected, since their planning horizon shortens and is prone to change within the electoral cycle.

The lack of certainty affects our pipeline development and planning dramatically because we're not able to make long-term commitments to people until we are sure that we make long-term commitments.

If we have a consistent pipeline of work, we can then build the capability and capacity to support that pipeline. But when projects get switched on and off, then organisations lose some of that capability and capacity overseas or it goes to other sectors.

Currently, public pipeline policies in Aotearoa are unprotected and prone to frequent changes. Mitigation measures include pipeline sovereignty, bipartisan agreements, and extending the length of electoral cycles from three to four years to reduce pipeline disruptions (Jacobs, 2016). Pipeline sovereignty refers to governance arrangements that protect long-term infrastructure pipelines from frequent political reprioritisation. De-politicisation, referring to developing the pipeline strictly on the identified needs/demands rather than ideologies, could also be utilised.

We need to extend our electoral cycle. We can't continue with just short-term thinking.

a dedicated pipeline with some rules around the pipeline that successive governments can't muck with the list. All they can do is decide the level of investment, so the list either goes faster or slower depending on the level of investment the government wants to put in.

Public funding commitments and budget allocations

The Public funding commitments and budget allocations archetype captures the policies and mechanisms that determine the availability, timing, and certainty of capital funding required for projects to proceed to delivery. Examples of policies within this archetype include the National Land Transport Fund, the Infrastructure Funding and Financing Act, the Housing Acceleration Fund, Crown grants and loans, local government borrowing arrangements, and long-term funding programmes. In that sense, the Funding Availability archetype determines whether the signalled intentions from the Public Pipeline archetype would receive the required funding and be converted into construction activity. This distinction between a planned and a funded project provides the certainty required for long-term planning of infrastructure projects. Therefore, the Funding Availability acts as a stronger market signal than the Public Pipeline.

There is no committed funding beyond three years. It aligns with the election cycles. So, there is intent, and there is planning, but no commitments except for three-year tranches of commitment.

The problem is that the funding cycle isn't supporting the pipeline. Even with visibility of the pipeline, the jobs weren't coming out of the pot because they were held up by funding certainty and three-year budget or election cycles.

Infrastructure programmes are usually planned over long periods; however, funding commitments are often limited to shorter planning cycles. Such impacts could directly lead to uncertainty and hesitation about pipeline signals, and limit sectors' ability to make informed capital investment decisions. Similarly, partial funding allocations for already approved projects could lead to cancellations and workforce reductions. Workforce expansion, training, and retention decisions are impacted by a similar behaviour.

My firm belief is that anything to do with capacity and capability is always to do with funding availability. Wherever you have money, you can get the capacity and capability to deliver. The challenge always comes when you do not have the money, then you lose that capacity and capability.

The 14% underfunding means that some projects that were planned will not go ahead. They'll either be delayed or stopped. And the people who were programmed to support those programmes also no longer have work to do.

The mechanisms of the public funding availability archetype extend beyond simply providing funding and finance. Funding certainty, funding durations, and the stability of funding commitments directly affect the sector's confidence. Furthermore, they shape investment decisions, workforce development, sector growth, and long-term capacity and capability development. Funding availability could thus enhance, weaken, or even override the signals generated through the public pipeline archetype. Long-term plans and project pipelines alone are insufficient to support investment decisions unless accompanied by definite funding commitments.

Major Fiscal Policies and Private-Sector Investment

Investment Boost is likely to have a greater impact on reducing the cost of capital for investment in new buildings (The Treasury & Inland Revenue, 2025)

The Major Fiscal Policies and Private-Sector Investment archetype captures the mechanisms by which fiscal, monetary, tax, borrowing, and market policies influence private-sector construction activity. This archetype is most direct for private-driven residential, commercial, and industrial projects, as well as privately financed infrastructure projects. While public funding commitments determine whether public priorities are converted into funded public projects, major fiscal and market conditions determine whether private development opportunities become financially viable and proceed to construction. In advice prepared for Budget 2025, the Treasury noted how fiscal settings can operate as a private-sector conversion mechanism: they do not directly procure construction work, but they can make new building projects more financially viable (The Treasury & Inland Revenue, 2025).

Examples of settings within this archetype include interest rates, credit conditions, taxation and depreciation settings, inflation, availability of development finance, mortgage lending conditions, construction cost escalation, investor confidence, buyer demand, tenant demand, expected yields, and expectations about future regulation. These settings do not usually prescribe what must be built or directly procure construction activity. Instead, they shape the financial conditions under which private owners, developers, investors, and financiers decide whether to acquire land, progress design, lodge consents, secure finance, enter contracts, or defer projects.

The central mechanism is development feasibility. A project may be enabled by planning rules and technically deliverable, but still not proceed if land, finance, and construction costs, demand risk, or expected returns do not align. One interview participant described this mechanism clearly:

> *"Private sector development is slowing. Higher land prices, higher interest rates, and higher construction costs. Apartment buildings, hotels, residential, and retail. That work is really not happening at the moment because the money's not on it to make it stack up."*

The Reserve Bank of New Zealand describes monetary policy as its work "to influence interest rates and the amount of money in the economy" and notes that, by influencing the cost of borrowing, it can influence the economy. This provides the macroeconomic pathway through which monetary settings affect private construction. Changes in interest rates flow through to development finance, mortgage affordability, business borrowing, investor hurdle rates, asset values, and confidence (Reserve Bank of New Zealand, n.d.). For private-sector construction, these effects are experienced as changes in project feasibility and willingness to commit capital.

This archetype interacts closely with land-use and regulatory settings. Planning reform may increase theoretical development capacity, but private-sector delivery will only occur where projects remain financially credible. For example, zoning changes or density permissions may enable apartments or mixed-use development, but higher land values, development contributions, infrastructure costs, compliance requirements, and construction escalation can still prevent projects from proceeding. In this sense, planning permission is necessary but not sufficient: private investment requires a feasible financial proposition.

The archetype also interacts with consenting and administrative efficiency. Approval delays increase holding costs, prolong exposure to interest rates, and create uncertainty about market timing. These risks are amplified when borrowing costs are high or demand is soft. A slow consent or approval process can therefore convert a marginally feasible private project into an unviable one.

The interaction with sector capacity and capability is also important. When private-sector activity slows, the reduction in workload affects consultants, contractors, subcontractors, suppliers, and developers. This can weaken workforce retention, reduce investment in training and innovation, and erode organisational capability. When market conditions later improve, the sector may not be able to respond immediately if capacity has already been lost.

Although this archetype is most direct for private-driven projects, it also affects public-driven construction. Public projects are primarily shaped by public pipeline and funding commitments, but they are still exposed to inflation, borrowing costs, and construction cost escalation. Higher costs can place pressure on public budgets, force scope reductions, delay procurement, or require additional funding approvals.

Environmental, land-use, and building regulations

The Environmental, land-use, and building regulations archetype captures the policies, regulations, and planning frameworks that influence decisions about where development can occur, what can be built, and the conditions under which land can be put to productive use. Land-use policies determine the location, density, and type of development permitted. On the other hand, regulatory requirements dictate that designs and delivery comply with legislation, standards, and codes. Examples of policies within this archetype include district/unitary plans, zoning plans, densification strategies, building code requirements, the Building for Climate Change Programme, and the Health and Safety at Work Act.

Zoning, land-use, and development policies directly affect the supply of land and the density at which development can occur to respond to anticipated demand. Greenfield developments could create demand across a wide range of residential, non-residential, civil, and infrastructure construction activities. On the other hand, densification works are generally concentrated in already developed areas and involve various construction activities, methods, and supply chain requirements. Changes in planning policy have the potential to impact on both the scale and type of construction activities.

One of the big changes that we've got at the moment is obviously we had increased density through the Auckland Unitary Plan. We've had recently the MDRS [Medium Density Residential Standards] intending to enable even more density by increasing what you can build on an individual dwelling.

The intention of a lot of this was around better use of existing urban brownfield land as opposed to increasing greenfield.

The effectiveness of land use reforms is closely linked to the availability of supporting infrastructure and the funding required to deliver it. Development opportunities created through zoning and planning policy may not materialise if the required infrastructure to support greenfield developments is unavailable or unfunded. This illustrates the direct interaction between the land Use and Regulatory Archetype and the Funding Availability archetype.

You could rezone a whole load of land outside the urban boundary and say yes, this is now zoned for housing. But unless you've got roads getting out there, unless you've got infrastructure such as power mains, water, etcetera, getting out there as well, it's not ready to be developed on and then you get into the whole question over who's going to pay for that.

Regulatory requirements influence development feasibility by affecting project specifications, compliance obligations, and construction costs. Individual regulatory changes are often introduced to achieve specific policy objectives. These could have an immediate impact on project costs. However, over time, multiple regulatory changes could lead to significant cost escalations across the industry. This may have a direct impact on several other archetypes, such as the Public Pipeline, Funding Availability or Sector Capacity archetypes.

The H1 code for insulation probably added 30% onto the price of a residential house, if not more. Safety and compliance with regards to scaffolding and access also added substantial cost. Many government projects are coming in over budget, there's been cost escalation of circa 30% in the last three years.

The Greater Wellington Regional Council has this new stormwater discharge quality requirement. And all territorial authorities now have their long-term plans out for consultation and all of them are going to raise development contributions. So that's another new cost to pay for development.

Administrative efficiency

The Administrative efficiency archetype captures the policies and mechanisms that influence the time, cost, and predictability of obtaining the necessary consents and approvals required for projects to proceed. Examples of policies and instruments within this archetype include the Resource Management Act 1991, the Building Act 2004, resource and building consent processes, and building approval frameworks administered by local authorities.

The time required to obtain consents and approvals can significantly influence project delivery. Extended approval timeframes may affect project feasibility and investment confidence. Delays increase costs, defer sector output, withhold workforce in anticipation of construction commencement, and create uncertainty regarding project delivery programmes.

There is no shortage of land. There's no shortage of design professionals. There's no shortage of money as long as you've got a compelling financial product; there's an abundance of money trying to find a good place to invest. Our single biggest constraint is the consenting process.

The expectation from the consenting process and its predictability are similarly critical for construction projects. Both the pipeline providers and the sector should be well aware of the expectations and requirements in advance. Any uncertainties regarding review requirements, information requests, and assessment processes should be clear to avoid creating additional programme and financial risks for project owners and developers.

XX City Council held all their questions till the end and then issued 60 questions regarding our consent application. The council decided that when we submitted the revision, they would have a totally new person start the review all over again. That cost us so much money.

The effectiveness of consenting systems is also influenced by the quality and accessibility of information. Fragmented consenting systems across local authorities can make it difficult to monitor project progression, identify bottlenecks, and understand how projects move through approval pathways. The absence of integrated consent information also limits pipeline providers' and the sector's ability to identify where delays occur and to evaluate the effectiveness of approval-system reforms. Furthermore, it also limits the availability of consistent, accurate and verified data for future research and policy evaluation.

> *I think one of the things that has been discussed in MBIE's review of the building consent system is that, in an ideal world, we would have one central building consent system rather than each council having their own. The biggest challenge, I think, is we don't have a central database where all of that information is pulled together.*

The Consenting & Approvals archetype, therefore, influences the extent to which planned and funded projects are converted into construction activity. Improvements to the Public Pipeline and Funding Availability archetypes may increase the number of projects entering the development system, but those benefits cannot be fully realised where approval processes remain lengthy, unpredictable, or fragmented. The archetype also interacts closely with the Private Sector Investment archetype, as approval uncertainty directly affects project feasibility, risk, and the willingness to commit capital to new developments.

Procurement and Contracting

The Procurement and Contracting archetype captures the mechanisms through which pipeline providers determine how construction work is procured, contracted, and allocated to the sector. Examples include the Government Procurement Rules and the Construction Procurement Guidelines. Changes to the Procurement and Contracting archetype could alter the sector’s competitive dynamics and reshape market structure, even when Public Pipeline and the Funding Availability archetypes remain consistent. The increasing use of panel arrangements, preferred supplier models, and enterprise delivery structures over traditional open tendering has concentrated opportunities within smaller groups of contractors in some market segments. Watercare's and Wellington Water’s transition to an enterprise delivery model demonstrates how procurement policy decisions can alter access to construction opportunities within a market.

> *Three or four years ago, Watercare introduced the enterprise model, under which projects of $2–3 million or more must go through Fulton Hogan or Fletcher. Previously, we could tender up to $40 million. Now we can only tender under that threshold. They've pretty much monopolised the industry from that value upward.*

On the other hand, such approaches could have some merits. Decisions about whether construction work is tendered repeatedly on a project-by-project basis or delivered through longer-term programmes and panel arrangements affect workforce planning, business confidence, and organisational investment decisions.

> *The public service thinks they get value for money by tendering every single project, and they lose the benefit of having a high-performing team moving on to the next job.*

A distinction should be made between the procurement policy's intent and its actual implementation. Lowest-price tendering arrangements are still widely used, despite their shortcomings. New Zealand's Construction Procurement Guidelines promote collaborative delivery approaches, early market engagement, and earlier contractor involvement during project development. International research demonstrated the benefits of collaborative procurement models (Eriksson & Westerberg, 2011). The effectiveness of these policies depends on the extent to which contractor knowledge and delivery experience are incorporated into project development before the plans, designs, and decisions are finalised.

You're not really getting involved in project scoping during ECI in New Zealand. You're really only getting involved in the detailing of the buildings' delivery. We've got no say on the form, no say on structural form and no say on architectural layouts.

ECI was introduced here about eight years ago and clients wanted to lock their contractor. But the design is still happening before that. When they say what's the cost, it's too late because the building is designed.

For the sector, procurement and tendering costs in New Zealand are perceived as high when benchmarked internationally, highlighting the importance of the Procurement and Contracting archetype overall, and the significance of adopting and correctly implementing collaborative procurement settings.

In general, the cost of a project in New Zealand is higher than the cost of a project elsewhere. For infrastructure projects, 15% of the cost is spent before you get to the site in New Zealand. I understand it's about 5% internationally.

Procurement policies and practices determine how risks are distributed between clients, consultants, and contractors. These decisions influence pricing behaviour, contingency allocation, tender participation, and the sector's willingness to pursue particular opportunities.

Often on projects, lowest price wins, which is why we have so many problems on construction projects in general. There's still a strong focus on lowest price, so as much scope as you can get for a budget. That creates risk, and then we've got to work out what those risks are.

The effectiveness of procurement policies also depends on the pipeline providers' ability to implement them appropriately. Procurement frameworks may provide flexibility and guidance, but achieving intended outcomes is difficult when clients lack the capability to select suitable delivery approaches, allocate risks effectively, and manage procurement processes consistently.

We see a massive capability issue with a lot of the client organisations. There are many client organisations that we probably wouldn't want to work with just because they don't have people in those organisations who delivered projects of similar scale and complexity before.

The Procurement & Contracting archetype extends beyond the purchasing of construction services. Procurement policies influence market access, continuity of workload, competition, risk allocation, opportunities for innovation, and capability development across the sector. The archetype also interacts closely with the Public Pipeline and Funding Availability archetypes. Public Pipeline policies determine what work is expected. Funding Availability policies determine whether that work is financially credible. Procurement policies determine how that work is distributed to the market, who is able to participate in its delivery, and the incentives under which organisations operate. Consequently, procurement policy decisions influence both project outcomes and the long-term development of the construction sector.

Sector Capacity

The Sector Capacity archetype captures the mechanisms that determine the availability of the workforce needed to meet anticipated construction demands. Examples of policies encompassed within this archetype include immigration policies, vocational training policies, apprenticeship programs, and tertiary-level education.

The Sector Capacity archetype is directly influenced by the Public Pipeline and Funding Availability archetypes. Reliable pipeline signals, secured funding commitments, and open access to construction works enable the sector to invest in workforce expansion, training, and organisational growth. Capacity contraction is expected if any of these archetypes are disrupted. However, capacity contraction typically occurs faster than capacity expansion.

Public Pipeline disruptions, changes in government priorities, or unprotected pipelines often cause serious disruptions in the Sector Capacity archetype. The level of impact on the sector varies by specialisation. For example, construction and civil contractors often have work-in-hand that sustains their workforce for extended periods. However, other professions may feel the impact differently.

What generally happens is the first people that get hit are the professional services. Suddenly the workload gets turned off. A lot of construction companies will already be on projects delivering projects, so the physical build seems to get a delay. Then the professional services companies let go of people. Then they've got to get those people back, build capacity back, and build competence back.

The consequences of workforce contraction are not confined to workforce reductions. Experienced and skilled workforce often leave the sector entirely or relocate to markets offering greater certainty and continuity of work. Once lost, such resources are difficult to replace. At the organisational level, capacity contraction often occurs gradually through attrition rather than large-scale redundancies.

With the new government’s direction, in 18 months time we're going to have a big problem. There's not going to be enough competent people. They've hollowed out the industry and people can't sit around. In our industry, you only have to look around the world and see that a lot of Westernised economies are investing in infrastructure. People are now fairly mobile these days to go and do what they need to do.

We've reduced our workforce since this time last year by about 8%. And that has been mostly through natural attrition. We've spent a lot of money, millions of dollars, in holding people as long as we could. It's not that we made a rash decision to save money. We spent a lot of money trying to minimise the impact.

On the other hand, workforce growth depends not only on attracting new workers but also on limiting workforce churn and retaining experienced personnel within the sector. It is often more difficult and time-consuming to develop and replace a contracted workforce when the demand arises.

Organic growth is notionally 10% per year without being too silly about it. Most businesses are capable of doubling themselves every five to six years. Growing a couple of hundred people a year, but that means doing a lot of work to replace the churn of 16–18%.

Immigration policy represents the most direct policy that influences the sector's capacity. Immigration policies provide access to the workforce that domestic labour markets were unable to provide. Changes to immigration policies have immediate implications for workforce availability and the sector's ability to respond to future anticipated construction demand. However, changes to the requirements and regulations governing workforce eligibility could prove challenging in certain instances.

Construction in New Zealand absolutely would have stood still in the last 20 years if it wasn't for immigration. They're cutting from 120,000 to 50000 or 60,000 immigrants. The construction sector will bear the brunt because we're employing the lower-skilled, lower-wage workers [referring to tying eligibility with income thresholds]. They've just changed the rules to make it harder.

At one point a few years ago we could get someone within three months. Last year we would have had to allow about nine months because of immigration hurdles and the markets they were coming from were quite healthy.

For some specialist project types, the domestic market is too small to sustain a permanent workforce that can continually progress from one project to another. Given New Zealand's relatively small size and construction scale requirements, some specialist capacities cannot be maintained domestically because the nature of the pipeline tends to be occasional and sporadic. The international workforce remains an integral component of the construction sector.

For some complex projects, particularly tunnelling and some other highly complex projects, we do not have the volume of work in New Zealand to maintain the skilled base within New Zealand, and for those types of work, we are bringing in capacity from overseas.

Apprenticeship support programmes, graduate pathways, and ongoing vocational education reforms all seek to increase the number of people entering construction-related occupations. Their effectiveness, however, depends on the continuity of construction demand. Training systems can increase the supply of new entrants, but their long-term impact depends on stable workloads, experienced supervisors, and employment pathways that retain newly trained workers within the sector.

I personally strive to have 10% of our workforce in some form of formal training, whether they're apprentices, cadets, or on a graduate development programme. If you go much more than that, then you have a problem because you're not training them properly.

The Sector Capacity archetype operates at the intersection of immigration policy, workforce development policy, and the pipeline and funding conditions established through other archetypes. Capacity is not simply a function of how many workers the sector can recruit or train. It is a function of whether policy settings provide sufficient certainty and continuity for organisations to retain people, invest in growth, and gradually expand workforce numbers. The recurring asymmetry between capacity loss and capacity rebuilding has significant policy implications. Workforce depth can be reduced within months of a pipeline contraction, but rebuilding equivalent capacity typically requires years of sustained demand, stable funding commitments, and continued investment in recruitment and training.

Sector Capability

The Sector Capability archetype addresses what the available workforce can actually deliver, including the expertise, experience, and organisational maturity required to successfully deliver complex projects. This differs from the Sector Capacity archetype, which addresses the availability of workforce and organisational resources. Capability develops through sustained project exposure, repeated application of knowledge, mentorship, and organisational learning (Savelsbergh *et al.*, 2016). Capability accumulates gradually over long periods but can deteriorate when the conditions supporting its development are disrupted. Impacts on the Sector capability archetype often emerge indirectly through interactions among the Public Pipeline, Funding Availability, Procurement & Contracting, and Sector Capacity archetypes. Disruptions to project continuity, funding commitments, procurement arrangements, or workforce stability can interrupt the processes through which knowledge, experience, and expertise are accumulated and transferred. Experienced practitioners may leave the sector before practical knowledge, judgement, and expertise have been transferred to the next generation or embedded within organisational systems.

I think we've got a problem with our construction engineers or site engineer. They're not as good as they used to be. This is a 10 to 15-year problem that's been allowed to happen. The people operating at senior levels, some of whom have taken 15 years to get there, were never taught right. And so they didn't teach the next generation.

As the definitions of capability indicate, certain higher-level skills are often more affected, especially those that rely on accumulated experience, judgement, and tacit knowledge developed over time. Unlike the workforce capacity numbers, these capabilities cannot be expanded rapidly in response to demand.

The hardest are frontline supervisors, the NCOs who are actually in the trenches driving the troops. Those are the hardest to find. For the last 10 years it's been very difficult, but because we're seeing a market downturn now, we're seeing more high-calibre people from the market than there was two years ago because many got laid off.

When you head into a bust, your skilled people, such as project managers, site managers, planners, design managers, and engineers, are really the hard ones to replace.

Client-side capability represents a further dimension of this archetype. The Procurement & Contracting archetype demonstrated that procurement legislation and guidelines influence how projects are brought to market. Their effectiveness, however, depends on client organisations' ability to apply them appropriately. Procurement policies may encourage collaboration, early contractor involvement, and effective risk allocation, yet these outcomes remain difficult to achieve if the client organisations lack the internal expertise required to implement them. Insufficient client capability can contribute to scope growth, procurement inefficiencies, and delivery challenges regardless of the quality of the policy frameworks themselves.

As contractors, we need to be able to start getting involved a little bit early — not only with the buildability, but we need clients to say, 'Mr Contractor, this is our budget. What can you build for our budget?' A budget went from 170 million to 400 million. It is mainly scope creep. The client lacked the internal expertise to resist it.

Capability also manifests through organisational learning, productivity, and the ability to continuously improve delivery systems. Unlike workforce numbers, these attributes develop through repetition, continuity, and sustained exposure to similar project types. Consequently, policy settings that influence pipeline continuity and project repetition also influence the sector's ability to accumulate capability over time.

We see ourselves as being in the production sector, not the construction sector. We're producing houses, not building them. Generally, it needs about three projects to become efficient in a certain project typology. That's the problem with our industry, just about every other type of project is different. It's a one-off. You can never really learn and get more efficient.

The benefits of organisational learning become particularly evident when organisations repeatedly deliver similar project types and can refine delivery systems, construction methods, and management practices over time.

We do 30 new homes per full-time equivalent per year. The next best company is 2, and that's XX. YY delivers half of 1 house per person per year.

The Sector Capability archetype reflects the cumulative effect of policy conditions established across the broader construction system. Pipeline instability limits opportunities for capability accumulation through sustained project exposure. Funding uncertainty discourages long-term investment in organisational development and innovation. Procurement settings influence the extent to which knowledge is shared, retained, and transferred across projects. Capability emerges from the interaction of multiple policies that collectively determine whether skills, expertise, institutional knowledge, organisational learning, and delivery competence are strengthened or eroded over time.

Policy Recommendations

The following sections highlight the main policy recommendations identified from the analysis.

Pipeline Continuity and Political Cycles

The Public Pipeline archetype highlighted the importance of pipeline credibility, continuity, and stability. Changes in government priorities, programme reviews, project repeals, and funding reprioritisation have direct implications on investment decisions, workforce planning, and the overall sector confidence. The Public Pipeline archetype highlighted the potential roles of bipartisan support for major infrastructure priorities, governance arrangements to eliminate electoral-cycle disruptions, and separating long-term infrastructure planning from short-term political decision-making.

Data Availability and System Visibility

Reliable and accessible data and information enable more robust planning, investment decisions, policy evaluation, and sector performance. Limited visibility into project pipelines, funding status, and sector and workforce dynamics reduces the ability to identify constraints and respond to changing market conditions. Integrated information across project pipelines, funding commitments, consent information, workforce dynamics, and project delivery would also improve visibility of how projects progress through the wider construction system and support future research initiatives.

Funding Certainty and Long-Term Investment

Funding certainty often acts as a stronger signal than pipeline visibility. The Funding Availability archetype highlighted that long-term infrastructure programmes are often planned for periods beyond the duration of funding commitments, creating uncertainty about project delivery and future workloads. Greater alignment between planning horizons and funding commitments would provide stronger signals and confidence regarding future workloads, as well as supporting the sector's long-term investment and workforce decisions.

Procurement Implementation and Client Capability

Despite policies and legislation encouraging the adoption of collaborative procurement approaches where appropriate, their application within New Zealand has not been widespread and their benefits have not always been fully realised. Their effectiveness depends not only on the procurement framework itself but also on client organisations' ability to implement these approaches and engage key stakeholders at appropriate stages of project development. Greater awareness of the implementation requirements associated with collaborative procurement approaches, together with improved client capability, may help pipeline providers achieve the outcomes these approaches were intended to deliver. The Procurement & Contracting archetype also highlighted the potential benefits of wider adoption of collaborative procurement approaches where appropriate.

Planning, Infrastructure, and Funding Alignment

Land-use policy influences where development can occur and the scale of development opportunities available to the sector. However, planning reforms alone do not necessarily translate into construction activity. Development opportunities created through rezoning, densification, or greenfield expansion remain dependent on the availability of supporting infrastructure and the funding required to deliver it. The alignment of planning decisions, infrastructure provision, and funding commitments remains an important factor influencing whether development opportunities are achievable.

Consenting Information and Approval-System Performance

The volume of consenting activity, together with process timeframes, predictability, and information availability, influences project feasibility, certainty, and investment confidence. Fragmented consenting systems across local authorities could reduce visibility of project activity and limit the ability to identify bottlenecks across the wider consenting system. More integrated consent data and information would improve transparency and provide greater insight into construction, particularly within the private sector, where project pipelines are not always publicly available. Integrated consenting information would also improve understanding of how projects progress through approval systems. Improved visibility of consenting activity may support broader planning and funding, as well as providing a stronger evidence base for future policy evaluation and research initiatives.

Cumulative Regulatory Impacts

Regulatory requirements influence development feasibility through project specifications, compliance obligations, and construction costs. Individual regulatory changes are often introduced to achieve specific policy objectives. However, their cumulative effect can materially influence project affordability, funding requirements, and the resources required to deliver construction activity. Assessing the potential impacts of regulatory changes across other archetypes and the wider construction sector may assist in identifying unintended consequences and provide the sector with greater opportunity to adapt to changing requirements.

Capacity & Capability Development

Sector Capacity is influenced not only by recruitment and training but also by the sector's ability to retain experienced personnel during periods of reduced demand. Capacity contraction can occur relatively quickly following pipeline disruptions or funding uncertainty, while rebuilding equivalent capacity often requires years of sustained demand, stable funding commitments, and continued workforce investment. The workforce consequences of pipeline and funding decisions extend beyond the immediate period in which those decisions are made. Retaining experienced personnel remains an important consideration in maintaining the sector's ability to respond to future construction demand.

Sector Capability develops through sustained project exposure, organisational learning, mentorship, and repeated delivery experience. These capabilities accumulate gradually over time and are difficult to replace once lost. Frontline supervisors, site engineers, project managers, and other experienced practitioners play a critical role in transferring practical knowledge, judgement, and expertise to future generations. Stable workloads and continuity of project delivery provide the conditions required for capability accumulation and effective knowledge transfer across the sector.

Similarly, confidence in future demand provides the sector with certainty to invest in specialised equipment, technology, systems, and other resources required to deliver complex projects.

Immigration and Specialist Expertise

Immigration continues to play an important role in supplementing New Zealand's domestic construction workforce and providing access to specialist expertise. For some highly specialised project types, domestic project volumes are insufficient to sustain specialist capability within New Zealand over the long term. International expertise remains necessary to support the delivery of certain complex projects and supplement domestic workforce capacity where specialist skills are unavailable or in short supply. Immigration settings, including eligibility requirements, income thresholds, and processing timeframes, influence the sector's ability to access specialist expertise and respond to changes in workforce demand.

Conclusions

This analysis commenced with an exhaustive compilation of the policies, legislation, regulations, and mechanisms governing and influencing New Zealand's construction industry. Individual policies were found to undergo frequent amendments, replacements, or repeal over time. However, the mechanisms through which they influence construction activity tend to remain relatively consistent. Consequently, the identified policies were grouped into a series of archetypes that represent the common mechanisms by which policy settings influence the sector. This approach provided a practical framework for examining policy impacts and enabled construction policy to be considered as a system of interconnected archetypes rather than a collection of individual policies.

Analysing the construction policy landscape through the archetype framework demonstrated that construction-sector performance is shaped by the interaction of multiple policies rather than individual policies operating independently, as shown in the diagram below. Public Pipeline, Funding Availability, Procurement & Contracting, Sector Capacity, Sector Capability, Consenting & Approvals, Land Use & Regulatory Settings, and Private Sector Investment continuously influence one another, and changes within one archetype often create consequences elsewhere in the system. The performance of the construction sector reflects the cumulative effect of these interacting policy archetypes rather than the influence of any individual policy in isolation.

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Appendix A: Methodology

This report adopted a qualitative policy analysis approach to examine how New Zealand's construction policy landscape influences construction activity, project pipelines, sector capacity, and sector capability. Rather than evaluating individual policies in isolation, the study sought to identify the recurring mechanisms through which policy settings influence construction demand, investment decisions, project progression, delivery conditions, and industry behaviour.

This approach was appropriate because the construction sector is affected by a wide range of policy instruments, including legislation, regulations, funding mechanisms, procurement frameworks, workforce settings, planning systems, and strategic initiatives. These instruments may change over time through amendment, repeal, reprioritisation, or replacement. However, the mechanisms through which they influence construction-sector behaviour are more persistent. The study therefore focused on identifying policy archetypes: recurring policy mechanisms that shape how projects are initiated, funded, approved, procured, delivered, and supported by the sector.

The analysis was developed in three stages: policy landscaping, archetype development, and qualitative validation through semi-structured interviews. This sequence enabled the study to move from a descriptive mapping of policy instruments to a more interpretive framework for understanding how policy settings interact across the construction system.

Initial Policy Landscaping

An extensive mapping of New Zealand's construction policy landscape was undertaken to develop a comprehensive register of policies and legislation that impact the construction and infrastructure sectors' project volumes as well as the construction sector's capacity to deliver and respond. The objective was to identify the legislation, regulations, funding mechanisms, procurement frameworks, programmes, and strategic initiatives that influence construction activity across the project lifecycle.

The landscaping process recognised that policies influencing construction take different forms and operate through different instruments. Some are statutory instruments, such as legislation and regulations that establish legal rights, obligations, approval requirements, or compliance standards. Others are strategic and planning instruments, such as national strategies, policy statements, long-term plans, and sector roadmaps that signal government priorities and expected future demand. A further group consists of financial and investment instruments, including public funding programmes, budget allocations, grants, loans, infrastructure financing mechanisms, and fiscal settings that affect whether projects are financially viable. The policy landscape also includes administrative and procedural instruments, such as consenting systems, approval pathways, procurement rules, and contracting frameworks that determine how projects move through public and regulatory processes. Finally, some instruments are capacity- and capability-building mechanisms, including immigration settings, apprenticeship programmes, vocational education reforms, certification schemes, and industry transformation initiatives that influence the sector's ability to deliver work.

This distinction was important because different policy instruments influence construction activity in different ways. Regulatory instruments may determine what can be built and under what conditions. Strategic instruments may shape expectations about future workload. Funding instruments may determine whether planned projects proceed. Administrative instruments may affect the time, cost, and predictability of project progression. Workforce and capability instruments may influence whether the sector has sufficient labour, skills, and organisational maturity to respond to demand. Accordingly, the initial landscaping did not focus only on policies explicitly labelled as construction policies, but also included broader government instruments that shape demand, feasibility, approvals, delivery, and sector development.

Archetype Development

The policy register revealed that construction activity is influenced by a large number of policies originating from different governmental domains and operating simultaneously. Te Waihanga highlighted the main long-term drivers of construction and infrastructure demand to include demographic growth, infrastructure renewal requirements, resilience needs, decarbonisation objectives, technological change, and economic growth (Te Waihanga, 2026). These drivers generate demand for infrastructure investment; however, the policy mechanisms influence how the demand is translated into actual project initiation, procurement, and delivery, as well as sector behaviour and activity. It was also concluded that the large majority of these policies undergo frequent amendments, changes, and even repeals over time. However, the mechanisms through which they impact investment decisions, project delivery, and industry performance tend to remain relatively consistent.

This necessitated considering mechanisms rather than individual policies. It also offered better practicality in avoiding examining policies at the individual level, especially since several policies are nested within other broader legislative and policy frameworks. Furthermore, some policies function concurrently with others or interact with each other. For example, different planning and investment programmes influenced the expectations about future workload. Thus, analysing policies individually may not be effective in determining the broader patterns through which policy influences the construction sector's behaviour.

To establish a workable framework, an Archetype approach was adopted. In this context, an archetype represents a common policy mechanism through which government actions influence the behaviour of the construction landscape across New Zealand. Each policy identified in the register was examined according to how it influenced investment decisions, project delivery, and industry behaviour. Policies sharing similar behavioural effects were subsequently grouped into archetypes. The resulting archetypes represent mechanisms rather than individual policies. This provides a practical analytical framework, as individual policy instruments may change over time while the mechanisms through which they influence construction-sector behaviour often persist. The archetype approach was based on three principles.

- First, policies were grouped according to their mechanism of influence, rather than their administrative origin. For example, policies from different agencies may all influence construction demand by signalling a future pipeline of public projects. Similarly, separate policies may influence project feasibility by affecting funding certainty, private investment conditions, land-use rights, consenting timeframes, or sector capacity.

- Second, policies were grouped according to their effects across the construction project life cycle. Construction projects move from need or demand identification, through strategic prioritisation, funding and feasibility, planning and approvals, procurement and delivery planning, construction delivery, and operation or asset stewardship. Different policy archetypes are more visible at different stages. Government strategy influences early prioritisation; funding and fiscal policies influence feasibility; land-use and consenting policies influence approvals; procurement policies shape market access and risk allocation; and sector capacity and capability influence delivery performance.
- Third, policies were assessed in terms of their relevance to different project pathways. Construction projects are not all driven by the same logic. Private-driven building projects are generally feasibility-led. Public-driven building projects are generally priority- and funding-led. Infrastructure and civil works projects are generally network- and programme-led. Hybrid projects combine these logics. This distinction helped clarify why the same policy archetype can affect different project types in different ways.

Interviews

In addition to the policy review, 25 semi-structured interviews were conducted with participants representing key parts of New Zealand's construction and infrastructure sectors. Participants were drawn from three broad groups: government and public-sector pipeline providers, horizontal infrastructure and civil contractors, and vertical building contractors. The pipeline-provider participants represented some of New Zealand's largest public organisations responsible for planning, funding, procuring, and delivering significant infrastructure and construction programmes. Building-contractor participants were drawn from organisations represented among the top 50 contractors in the BCI rankings, providing perspectives from firms delivering major vertical construction projects. Civil and infrastructure participants represented major contractors delivering horizontal infrastructure and civil works across New Zealand.

The interviews explored participants' experiences of the policy environment and its influence on project pipelines, funding certainty, procurement, investment, workforce capacity, sector capability, consenting, regulation, and project delivery. A semi-structured approach allowed a consistent set of themes to be examined while also enabling participants to elaborate on issues specific to their organisations and sectors.

Interview transcripts were thematically analysed and used to validate, refine, and illustrate the policy archetypes developed through the wider policy analysis. The quotations presented throughout this report are drawn from these interviews and demonstrate how policy settings and changes are experienced by organisations responsible for planning and delivering construction and infrastructure projects. To preserve participant and organisational confidentiality, quotations are presented anonymously and are not attributed to individual interviewees or organisations.